

Occurrence. Only in bull markets do the majority (55%) of chart pattern types see price rise more than 20%. The worst performance (28%) comes from chart pattern types with downward breakouts in bull markets. That poor performance makes intuitive sense because the market trend is upward but the breakout is downward. It's like swimming against the current, so you'd expect the swimmer to struggle.

Notice that downward breakouts in bear markets place second (49%). It's another indication that trading with the trend (upward breakouts in bull markets and downward breakouts in bear markets) leads to better performance.

Table 1.8 Trend Change

	Bull Market, Up Breakout	Bear Market, Up Breakout
Occurrence	55%	46%
	Bull Market, Down Breakout	Bear Market, Down Breakout
Occurrence	28%	49%

Table 1.9 Single Busted Patterns (S) versus Proxy (P)

	Bull Market, Up Breakout	Bear Market, Up Breakout
Winner	Single bust (97%)	Single bust (75%)
Performance	−22% S, −15% P	−24% S, −22% P
Single bust occurrence	53%	76%
	Bull Market, Down Breakout	Bear Market, Down Breakout
Winner	Single bust (94%)	Single bust (79%)
Performance	53% S, 41% P	40% S, 28% P
Single bust occurrence	70%	63%